

A LONG WAY TO GO



Studies have found that board diversity fosters inclusive growth and comprehensive decision-making



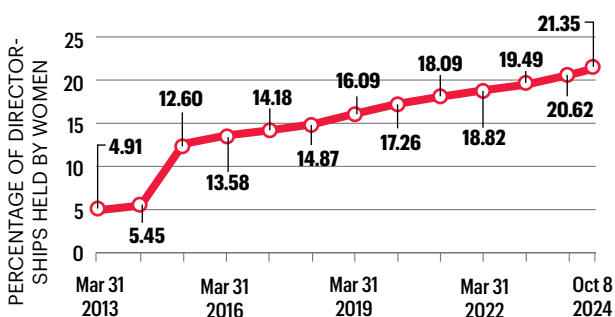
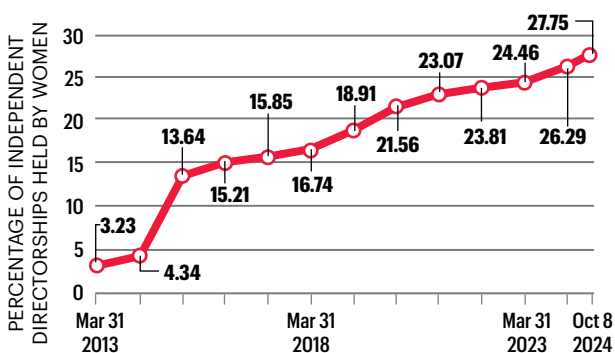
There has been some progress after the government mandated representation of women on boards

Unlisted public companies must also comply if they meet specific financial thresholds, such as having a paid-up share capital of ₹100 crore or more or an annual turnover of ₹300 crore or more.

But, 11 years after the introduction of mandatory quotas for women directors, Indian boardrooms still struggle with gender diversity. According to Primeinfobase, the percentage of independent female directors in Indian companies has increased from a mere 3.23% in 2013 to 27.75% as of October 8, 2024. While this marks significant progress, many companies still only meet the bare minimum requirements, appointing just one woman director to satisfy legal norms. Among the Nifty 500 companies, 207 have only one woman director, indicating a reluctance to go beyond the bare minimum.

INCHING UP

- The number of women independent directors has risen from 3.23% in FY13 to 27.75% till October 8, 2024
- Women hold 21.35% of directorships, indicating a yawning gap in gender representation



SOURCE PRIMEINFOBASE.COM

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The low representation of women on boards is not a uniquely Indian phenomenon, as a report by Deloitte, titled 'Women in the Boardroom: A Global Perspective,' shows. While improvements have been made worldwide, the estimated time frame for achieving gender equality on boards, according to the report, has only shortened marginally—from 2045 to 2038.

Of the 400 Indian companies Deloitte analysed for the report, only 5.1% had women as CEOs, 5.8% had women as CFOs, and a meagre 4.1% had women as board chairs in 2023. Among the firms analysed, those in the life sciences sector performed best, with women constituting a little over 21% of board members, followed by technology and telecom at 20.5%.

The "leaky pipeline" phenomenon, where women drop out at various stages of their careers, contributes to this disparity. We have come a long way from 3% to 21% (of women directors). I think that in itself is a significant achievement, even though several of these women may not necessarily be representing true 'gender diversity' as they belong to or are related to the promoters. While we are still lagging behind some developed economies, we have done far better than many emerging economies. So I think, at least the start has been made," says Pranav Haldea, Managing Director of capital markets data provider Prime Database Group.

Haldea adds that representation must be there not just at the entry level but across the hierarchy. "The biggest problem is that while equal representation may be present at the entry level, as you go up the ladder, you find that a lot of women drop out because of family responsibilities etc. Lack of flexible work arrangements make it harder for women to balance career and personal life.

An additional problem is the concentration of board positions among a few women, even though